



GOOD, BUT CAN do better.” This clichéd response is a ritual at parent-teacher meetings in schools. Now, though, it has also become a constant refrain in one unlikely place: the primary market.

Ask any market participant now about the primary market, and pat comes the reply: It’s doing fine, but it can definitely do better in the months ahead.

This is because there has been a notable increase in primary market activity, led by small and medium enterprises (SMEs), coming after two roller-coaster years when market participants first experienced exhilarating highs in 2021 before activity tapered and then plunged by the end of 2022. But there is a glimmer of hope that the strong pipeline of initial public offerings (IPOs)—or public issues in local parlance—could spark a repeat of 2021. IPOs worth over ₹80,000 crore are waiting to be launched.

This cautious optimism, to use a staple of market-speak, has taken a while to build because 2023 began with a visible lull in the primary market—the section of the market where new or unlisted companies get listed on the stock exchanges through IPOs. Then in March, a slow trickle of IPOs began—just two to three a month—that has gained volume and momentum to the extent that there were around 20 IPOs—including mainboard and SME issues—in September. This included public issues of well-known companies like JSW Infrastructure and Yatra Online.

The primary market spurt has mirrored the movement of the benchmark indices this year. In the second quarter—April to June—the Sensex and Nifty clocked more than 2 per cent gains in each of the three months. The 30-share Sensex and the broader 50-share Nifty scaled their respective record highs of 67,927.23 and 20,222.45 on September 15. The Sensex has gained 7 per cent from the beginning of this year through September 28. Meanwhile, broader indices like the BSE MidCap and BSE SmallCap have gained over 25 per cent and 28 per cent, respectively, in that period.

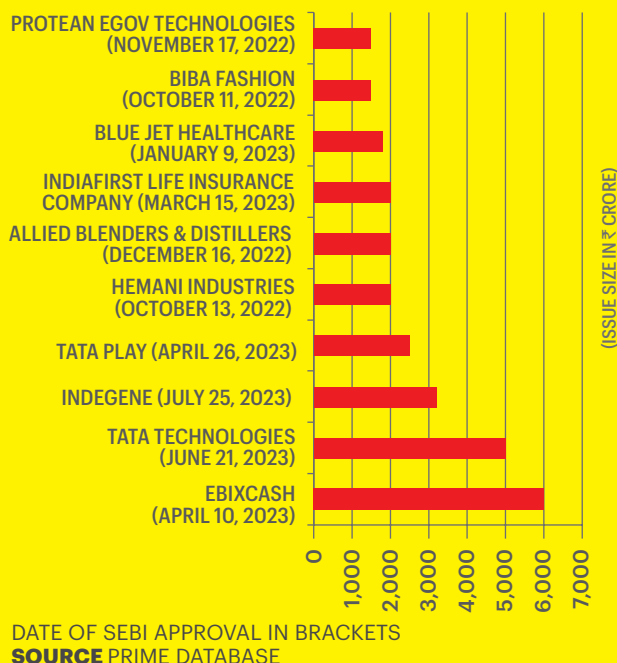
But though the pace has picked up in the primary market, the 2023 report card pales in comparison with the previous year, and especially 2021, which was a record year in terms of funds raised through IPOs. Till August this year, a little over ₹15,000 crore has been raised through 20 mainboard IPOs. Add to it another ₹2,500 crore that was raised via IPOs on the SME

THE LINE-UP

→ ₹81,500 CRORE WORTH OF PUBLIC OFFERS ARE IN THE PIPELINE

→ THE BIGGEST ISSUE IS THAT OF OYO, BUT IT IS YET TO RECEIVE SEBI'S APPROVAL

Companies with a valid Sebi approval to launch an IPO



Companies that are yet to receive Sebi's approval

